

P E R S U A S I V E S P E E C H

Stop Picking Stocks

Why Index Funds Are the Smarter Choice
for Young Investors

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DISCLAIMER

The views shared in this presentation are mine and do not necessarily represent the views of the University of North Carolina at Charlotte.
As stated in the syllabus, no unauthorized tools were used for this assignment.

Two Investors. Same Starting Point.

The Stock Picker

Spends hours every week monitoring individual stocks

Reacts to **every earnings report**, Fed announcement, and market trend

Feels informed. Feels in control.

The Index Investor

Puts \$100/month into an S&P 500 index fund

Sets up **automatic contributions** and never looks back

Lives her life. Time does the work.

THE PROBLEM

If the pros can't beat the index -
what chance does a college
student have?

According to the SPIVA U.S. Scorecard published by S&P Dow Jones Indices, over a 15-year period ending in 2022, approximately 92% of large-cap active fund managers underperformed the S&P 500.



92%

of active fund managers
underperform the S&P 500
over 15 years

The behavioral problem is just as bad

Panic Selling

When markets fall, retail investors sell at the bottom - locking in losses instead of riding the recovery.

Return Chasing

Investors buy what already went up, entering positions late and absorbing the correction that follows.

Emotion Over Logic

Decisions that should be mechanical - automated, rules-based - get derailed by market noise and headlines.

THE SOLUTION

**Index funds solve every major
weakness of individual stock picking.**

Performance · Cost · Risk

Three reasons index funds win

PERFORMANCE

~10%

avg. annual return
S&P 500 (50 yrs)

Warren Buffett's estate directs 90% of assets into an S&P 500 index fund - "the best investment most Americans can make."

Source: Berkshire Hathaway Shareholder Letter, Buffett, 2013

COST

0.05%

avg. index fund
expense ratio

Actively managed funds charge 0.60%+. On a \$10,000 investment over 30 years, that 1% fee gap costs you roughly \$19,000 in lost returns.

Source: Morningstar U.S. Fund Fee Study, 2023

RISK PROTECTION

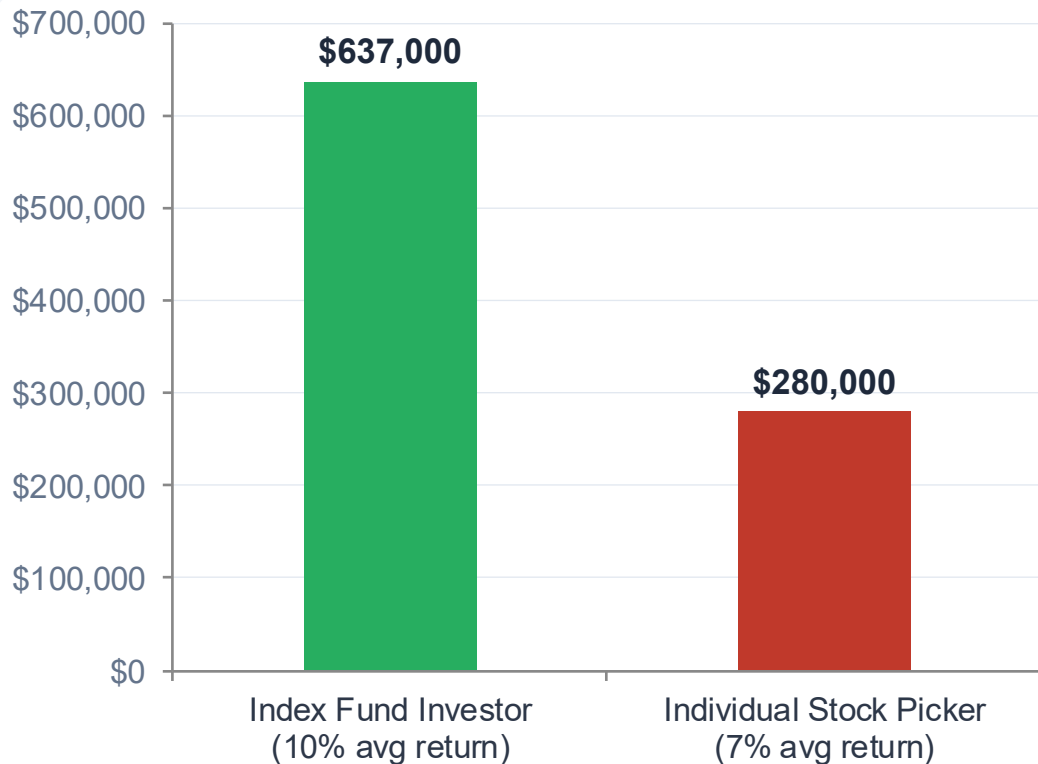
500

companies across
all major sectors

Enron employees who held company stock in their 401(k) lost everything. Index fund investors in 2001 lost less - and recovered with the market.

Source: McLean & Elkind, The Smartest Guys in the Room, 2003

\$100/month from age 22 — two very different outcomes at 60



Index Fund Investor

\$637,000

Out of pocket: ~\$45,600

The rest: compound growth

Individual Stock Picker

\$280,000

Less than half - per Dalbar
behavioral data (3% drag)

ACTION STEP

Here is what I am asking you to do this week.

1

Open a brokerage account

Fidelity, Vanguard, or Charles Schwab - all free, no minimum balance.

2

Search for an index fund

Look for a total market index fund or an S&P 500 index fund.

3

Set an automatic contribution

Even \$25 a month. Automation removes emotion from the equation.

4

Leave it alone

The strategy only works if you let compounding do its job over time.

The hardest part of this strategy is starting. You now have no excuse not to.

References

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